

# What do we know about permitting activity in North Carolina and the southeast region?

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Housing permits in North Carolina and the Southeast region have fluctuated significantly over time, reflecting shifts in the economy, population growth, and evolving housing demands. The 2008 housing crisis slowed down new construction, but activity slowly picked up again as the economy recovered and more people moved to the state. In this brief, we examine the evolution of housing permit activity in North Carolina and the Southeast region and what that might tell us about the direction of the housing market.

## Painting a broad picture

Figure 1 illustrates how housing permit activity in North Carolina has evolved from 2000 to 2024. Using data from HUD's Office of Policy Development and Research, we observe distinct periods of growth and slowdown, influenced by shifts in the economy and population. Permit activity peaked at 100,017 in 2006, which was 28 percent higher than the 2000 level, but then fell sharply to 32,804, just 42 percent of the 2000 figure. It took nine years for permit levels to recover, finally returning to the 2000 benchmark in 2020. As the economy improved, construction activity, as proxied by permits, surged reaching record highs in 2021 and 2022 before moderating slightly in 2024. This trend highlights how housing activity in the state responds to major economic events, yet continues to grow over time. As of 2024, permit activity is 21 percent above the 2000 level.

In Figure 2, we examine the types of housing being built across North Carolina over time. Single-family

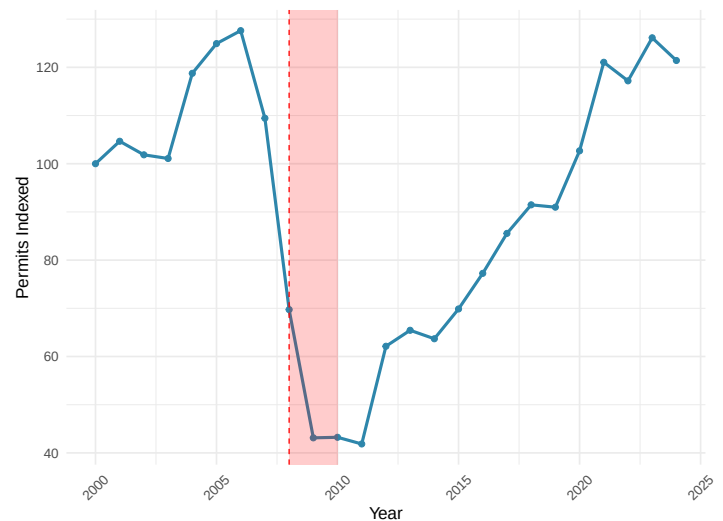


Figure 1: Housing permit activity in North Carolina by year relative to 2000

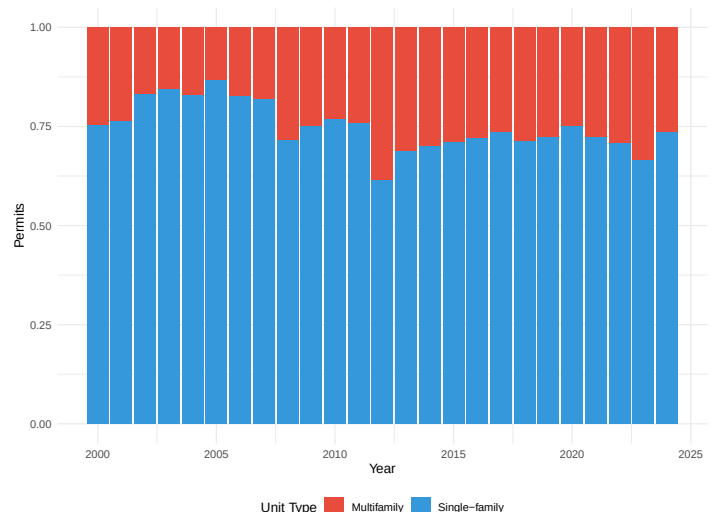


Figure 2: Share of single-family and multi-family permits in North Carolina

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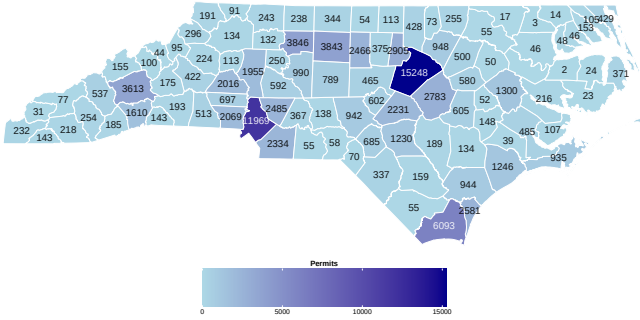


Figure 3: Number of housing permits by county in 2024

homes have consistently made up the majority of new housing, accounting for 75 percent of permits in 2000 and rising to 83 percent in 2006. Multi-family housing made up about 25 percent in 2000, with activity remaining steady until a sharp increase in 2012, when multi-family permits reached their highest share at 38 percent of all new housing.

After 2012, the share of multi-family permits declined as single-family construction rebounded. By 2024, multi-family housing accounted for 26 percent of all new permits, which is nearly identical to its share more than half a century earlier.

Table 1: Top 10 Counties by Housing Permits and Population, 2024

| County      | Permits | County      | Population |
|-------------|---------|-------------|------------|
| Wake        | 15,248  | Wake        | 1,232,444  |
| Mecklenburg | 11,969  | Mecklenburg | 1,206,285  |
| Brunswick   | 6,093   | Guilford    | 558,816    |
| Forsyth     | 3,846   | Forsyth     | 398,143    |
| Guilford    | 3,843   | Durham      | 343,628    |
| Buncombe    | 3,613   | Cumberland  | 338,430    |
| Durham      | 2,905   | Buncombe    | 279,210    |
| Johnston    | 2,783   | Union       | 263,386    |
| New Hanover | 2,581   | Johnston    | 249,794    |
| Cabarrus    | 2,485   | Cabarrus    | 244,925    |

### What drives housing permit activity across North Carolina?

Housing activity in North Carolina is not evenly distributed across the state. As shown in Figure 3, the map highlights that new housing development in 2024 is concentrated around large cities and along the coast. Table 1 shows that Wake and Mecklenburg counties lead the state, with approximately 15,000 and 12,000 permits,

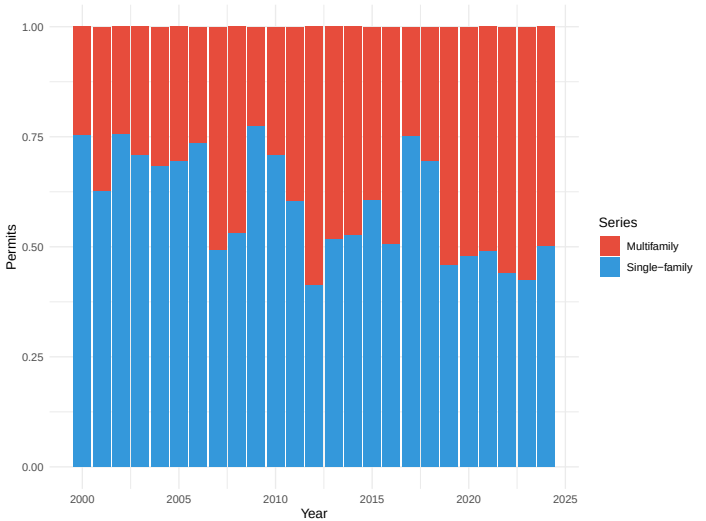


Figure 4: Share of single-family and multi-family housing permits in New Hanover County

respectively—an expected trend given their status as the most populous counties.

However, counties like Brunswick present a different pattern. Despite ranking third in total housing permits, Brunswick is only 18th in population. Its permit-to-population ratio is 36.46, meaning there are about 36 permits per 1,000 residents—nearly three times higher than Wake County’s ratio of 12.37. A similar, though less pronounced, trend is seen in New Hanover County, which ranks ninth in total permits and has a permit-to-population ratio of 10.6.

These figures suggest that housing growth is not limited to the largest urban centers. Smaller or coastal counties are seeing disproportionately high levels of construction, pointing to shifting population and development patterns within the state.

### Where does New Hanover County stand?

New Hanover County’s population has steadily increased over the past two decades, with the rate of growth accelerating in the years following the COVID-19 pandemic. Figure 4 shows how new housing patterns, as measured by housing permits, have changed during this time. In 2000, nearly 75 percent of all permits were single family which is similar to the statewide average.

This pattern began to shift in the following decade. In 2012, the share of multi-family permits rose to 59 percent for the first time. This increase occurred during a period when many residents were still recovering from the housing crisis, and rental options became more important as

fewer people could afford to buy homes.

As of 2024, multi-family housing continues to play a major role, making up 50 percent of all new permitting activity in the county. This shift reflects broader changes in how the county is growing. As more people move in and available land becomes more limited, developers are building a wider range of housing types. Apartments and smaller units now provide more affordable and flexible options for those living, working, or studying in the area, particularly in and around Wilmington.

Looking at the longer-term trends, permit activity in New Hanover County has fluctuated with broader economic conditions. Total permits peaked in 2004 at 3,594 units before declining sharply during the housing crisis, bottoming out at just 427 permits in 2009. Permit levels gradually recovered in the following decade, surpassing 3,000 units again by 2019 and remaining above that level through 2022. However, permitting has declined somewhat since then, falling to 2,581 in 2024.

The mix of housing types has also shifted over time. In the early 2000s, single-family homes dominated, making up over 75 percent of all permits in most years. By contrast, in both 2022 and 2023, multi-family units made up a significantly larger share of new housing. In 2022, for example, multi-family permits outnumbered single-family permits by nearly 400 units (1,858 vs. 1,469), and in 2023 the gap was even larger at over 430 units (1,657 vs. 1,226). This trend indicates growing demand for denser and more flexible housing. It reflects both population pressures and changing preferences for rental or lower-maintenance housing options, especially in areas with limited available land.

These changes affect not only how much housing is built but also the types of housing being prioritized.

Tracking permit activity helps local governments and planners understand where growth is occurring and how housing needs are evolving. This information is essential for making informed decisions about development, zoning, and long-term planning.

## **Why does any of this matter?**

Housing permit activity provides a clear view of how North Carolina and counties like New Hanover are changing. Over time, trends in permits reflect patterns of population growth, shifts in housing preferences, and responses to broader economic conditions.

While housing growth remains strong in the state's largest urban areas, counties such as Brunswick and New Hanover are seeing high levels of permitting relative to their population. This suggests that development is expanding into smaller and coastal communities, which has implications for land use, infrastructure, and local services.

In New Hanover County, the steady rise in population, particularly after the COVID-19 pandemic, has increased demand for housing. With limited available land, the share of multi-family permits has grown, reflecting a shift toward denser and more flexible housing options.